CONTRACT NO. : GM2-UGF # 32
CONTRACT DATE : July 21, 2022

CI
Percentage Rent

araneta city
the city of firsts

CONTRACT OF LEASE

LESSEE ACKNOWLEDGES THAT HE HAS READ OR CAUSED TO BE READ TO HIM ALL THE PROVISIONS OF THIS CONTRACT, THAT RECEIPT OF A SIGNED COPY THEREOF IS EXPRESSLY ACKNOWLEDGED BY HIM, AND THAT HE HAS FULLY UNDERSTOOD THE SAME.

LESSEE ACKNOWLEDGES, IN ADDITION, THAT LESSOR HAS DISCUSSED WITH HIM THE PROVISIONS OF THIS CONTRACT OF LEASE AND THE SUPPLEMENTAL RULES AND REGULATIONS AND RENOVATION GUIDELINES (SRRRG), ANNEX "A" AND THE SYSTEM REQUIREMENTS AND GUIDELINES OF THE LESSEE SALES MONITORING SYSTEM (LSMS-POS), ANNEX "B", HEREOF, FOR HIS FULL AWARENESS, COMPREHENSION AND UNDERSTANDING, AND TO HIS SATISFACTION.

IN CONSIDERATION OF THE RENTS, CHARGES AND COVENANTS HEREINAFTER SET FORTH, AND THE FAITHFUL COMPLIANCE WITH ALL THE CONDITIONS AND COVENANTS HEREINAFTER CONTAINED, LESSOR, AS REGISTERED OWNER, HAS AGREED TO LEASE, LET AND DEMISE, AS IT DOES HEREBY LEASES, LETS AND DEMISES UNTO LESSEE, AND THE LATTER HAS AGREED TO LEASE AND ACCEPT, AS HE DOES HEREBY LEASE AND ACCEPT THE FOLLOWING DESCRIBED PREMISES UPON THE FOLLOWING TERMS AND CONDITIONS;

FUNDAMENTAL LEASE PROVISIONS

LESSOR

ACI, INC., a corporation duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal offices and postal address at 25th - 26th Floors, Gateway Tower, Araneta Center, Quezon City, Philippines, represented in this act by its duly authorized **Virgilio D. Ignacio** and **Antonio T. Murdo**, signing jointly, hereinafter referred to as LESSOR,

-and-

LESSEE

Family Times Foods, Inc., of legal age, Filipino, single / married to _____ with residence and postal address at . a corporation/partnership duly organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal offices and postal address at **Space no. 32 Upper Ground Floor, New Gateway Mall, Araneta City, Quezon City** represented in this act by its duly authorized **Adrian Dimaculi** and, hereinafter referred to as LESSEE; and all notices sent to LESSEE at said address shall be valid and binding for all legal purposes and intents.

LEASED PREMISES

Space:	32	Sec. 1, 6
Block	032R	
Floor:	Upper Ground Floor	
Building:	New Gateway Mall	
Approximate Area:	430.68 square meters	
LEASE PERIOD:	Five (5) Years	Sec. 3
Starting:	Upon turn-over of space	
Ending		
RENT & OTHER CHARGES (ROC)		Sec. 1
Starting:	90 days upon turnover of space or first day of operation whichever comes first	
Ending:		

RENTAL-MONTHLY Sec. 1
(Exclusive of VAT, which VAT is for the account of LESSEE)

	Year 1 to Year 3	Year 4	Year 5	
BASIC RENT	Waive	357,330.00	375,195.00	
PERCENTAGE OF GROSS SALES	10%	5%	5%	
MINIMUM GUARANTEED RENT	Waive	397,030.00	416,880.00	
BASIC RENT: MEZZANINE				
BASIC RENT: OUTSIDE SEATING				
OTHER CHARGES(OC)-MONTHLY				Sec. 1,7,13,19
OUTSIDE SEATING				Sec. 1,7
CUSA	64,600.00	64,600.00	64,600.00	Sec. 1,13
PROMOTIONS	5,000.00	5,000.00	5,000.00	Sec. 1,19
ASSOCIATION DUES	100.00	100.00	100.00	Sec. 1,19
TOTAL OTHER CHARGES(OC)	69,700.00	69,700.00	69,700.00	
TOTAL RENT & OTHER CHARGES(ROC)	69,700.00	466,730.00	486,580.00	
SAVINGS-MONTHLY		7,940.00	8,340.00	Sec. 1
SECURITY DEPOSIT	2,382,200.00			Sec. 2
ADDITIONAL SECURITY DEPOSIT			119,100.00	Sec. 12
UTILITIES DEPOSIT	175,000.00			Sec. 14

USES OF PREMISES/CONDUCT OF BUSINESS

Registered Business Name: **Mary Grace Cafe**
Nature of Business: Restaurant without Liquor

Authorized Items for Sale:
Breakfast, Starters, Hearty Soups, Salad, Pastas, Sandwiches, Pizza, Perfect Plates, Refreshers and all other food items authorized by Mary Grace Cafe

Items Specifically Prohibited for Sale:
All other items not specified in the allowed items

BODY OF CONTRACT

RENT, OTHER CHARGES, REIMBURSEMENT

1. In consideration of the lease of the premises indicated in the FUNDAMENTAL LEASE PROVISION (FLP), LESSEE shall pay monthly to LESSOR the following:
a) BASIC RENT as indicated in the FLP.
b) In addition to the BASIC RENT mentioned above, LESSEE shall pay PERCENTAGE OF GROSS SALES as indicated in the FLP.
The term "Gross Sales" shall be understood to include the actual gross proceeds received or contracted to be received from the commercial operations in the Leased Premises, whether for cash, installments or on credit, regardless of actual collection; on the sale of goods, food items, drinks, home appliances, electronic items, merchandise and promotional items as well as charges for all services performed for which a charge is made by LESSEE or by any other person or corporation selling merchandise or performing services of any sort in, upon or from any part of the Leased Premises, whether for cash or installments or on credit, regardless of actual collection; charges for advertising and promotional displays or any other manner by which LESSEE charges any other person or corporation selling merchandise or performing services of any sort in, upon or from any part of the Leased Premises, whether for cash or installments, or on credit, regardless of actual collection; commissions due for the use of credit cards, agencies, etc.; deposits not refunded to purchaser; sales of gift certificates or orders filled or taken from the premises and sales of merchandise from vending machines and any such other devices and such sales and services rendered from LESSEE's other store or office, if any, as may have been directly ordered from or caused by LESSEE's establishment in the Leased Premises. "Gross Sales" shall also include actual gross proceeds made by LESSEE of any goods or merchandise sold, or advertised for sale in the Leased Premises but delivered elsewhere, including home or on-line purchases and deliveries, whether for cash or installments or on credit, regardless of actual collection. It shall exclude returns and refunds and sales tax or similar taxes where such items are billed to the customers as separate items; free services to promote more patronage; cash or merchandise donated by sponsors as prizes for customers, provided the donation is used wholly for such purpose/s, and proceeds and receipts from the sale of LESSEE's used equipment and furniture. "Gross sales" shall not be discounted or reduced on account of coupons or other promotional evidences of credit received by LESSEE towards the purchase, lease or exchange of merchandise or services.

All transactions must be covered by appropriate sales invoices and registered in an accepted cash register machine/point of sale system, with tape and cumulative and non-resettable grand total features, previously approved in writing by LESSOR, which invoices and tapes shall be kept by LESSEE in his files within the Leased Premises for a period of at least one (1) year and made available to LESSOR for audit at any time.

LESSEE shall submit to LESSOR a summary of his daily sales in a form to be provided by LESSOR immediately after the close of business hours each day and that failure to submit the same within the prescribed deadline shall subject LESSEE to a penalty of Two Thousand Pesos (P2,000.00) per offense or per day of delay, without prejudice to other sanctions that may be imposed by LESSOR under this Contract. Repeated violations shall be ground for cancellation of this Contract, extra-judicially.

LESSEE shall also submit to LESSOR his monthly sales reports, duly certified by his authorized representative and/or an independent Certified Public Accountant, in a form to be provided by LESSOR, not later than the fifth day of the next month for the previous month's sales. Failure to submit the same within the prescribed deadline shall subject LESSEE to the same penalty imposed as in the second paragraph of this 1.1; PROVIDED, however, that LESSOR has the unilateral right to increase the penalty rates hereof at any time it deems appropriate by giving prior notice to LESSEE.

LESSEE shall, in all his transactions, employ a point of sale or an electronic cash register terminals by which every sale is recorded and accepted, which system should be acceptable to LESSOR. Hence, lessee must use only LESSOR's accredited POSprovider.

LESSEE shall comply with the System Requirements & Guidelines of the Lessee Sales Monitoring System (LSMS-POS) set down by LESSOR, a copy of which is hereto attached as ANNEX "B", and made an integral part hereof, and those which may hereafter be promulgated from time to time by LESSOR.

1.2.1 In the event LESSOR decides to adopt an electronic recording and/or processing system to monitor the sales and operations of LESSEE in the Leased Premises, LESSEE shall use or install in his Leased Premises and at his sole and exclusive account, such necessary equipment, communications cables, generators and such other items as maybe required by LESSOR to be connected to the system, and that he shall adopt such recording and documentation methods and procedures as shall be compatible with such system. LESSEE further agrees to subscribe and adhere at all times to the prescribed preventive maintenance scheme for the repair and servicing of the sales recording machines to ensure continuous and uninterrupted use of such sales recording equipment.

LESSEE shall moreover employ an independent certified public accountant acceptable to LESSOR for the purpose of audit and certification of his gross sales; PROVIDED, that LESSOR may conduct daily reading of cash registers/point-of-sale machines and checking of invoices and spot audits at any time during business hours, with the right to examine all pertinent receipts, books and other documents of LESSEE. LESSEE shall likewise provide for adequate internal control in his accounting system. In case LESSOR is not satisfied with the internal control set-up and/or LESSEE's system does not conform to Generally Accepted Accounting Principles (GAAP), then LESSEE shall change his accounting system to conform with LESSOR's standard practice in the Araneta Center or GAAP, to achieve adequate internal control. If LESSEE refuses to change his system, this shall be sufficient reason for LESSOR to immediately terminate this Contract extra-judicially.

Any act or omission resulting in incorrect, erroneous or untrue invoicing or registering in the cash register/POS or reporting to LESSOR of any transaction by LESSEE, his agents or employees shall similarly be a valid reason for the immediate cancellation of this Contract extra-judicially.
All information given and relayed to LESSOR by LESSEE pursuant to the foregoing provisions shall be considered as strictly confidential as between the parties and LESSEE hereby expressly acknowledges that the constitutional prohibition against self-incrimination shall not apply to said information.

Therefore, LESSEE shall pay LESSOR monthly the MINIMUM GUARANTEED RENT (MGR) indicated in the FLP which is merely the minimum amount acceptable for paragraphs a) and b) of Sec.1 above, without prejudice to the computation and payment of the actual PERCENTAGE OF GROSS SALES of LESSEE for the month concerned.

LESSEE shall likewise reimburse LESSOR for AIRCON CHARGES and COMMON USE SERVICE AREA (CUSA) CHARGES indicated in the FLP and as defined in Sec. 7 and 13 hereunder, and pay PROMOTIONS CHARGES and ASSOCIATION DUES also indicated in the FLP and as defined in Sec. 19 hereunder and MISCELLANEOUS CHARGES, if any.

All payments shall commence on the starting date of RENT and OTHER CHARGES (ROC) indicated in the FLP and shall continue until the termination of this Contract, and shall be made at the above address of LESSOR without the necessity for any previous demand or the services of a collector. The MGR and OTHER CHARGES (OC) shall be payable in advance within the first five (5) days of every month; PROVIDED, however, that in the event of deficiency in the PERCENTAGE OF GROSS SALES to be paid as provided in par. b) above, then such deficiency shall be payable within the first five (5) days of the month immediately following and shall be accompanied by the corresponding statement of his total daily gross sales of goods and services as certified to by an independent Certified Public Accountant. In the event payment of the MGR and OC is made in advance within the first five (5) days of the month, LESSEE shall be entitled to the SAVINGS indicated in the FLP, PROVIDED, LESSEE has no outstanding accounts and there is no deficiency in the PERCENTAGE OF GROSS SALES paid as provided in par. b) above this paragraph.
All unpaid accounts thereafter, including Security Deposit and Utilities Deposit, shall automatically bear interest at the rate of thirty-six (36%) percent per annum to be computed daily starting from the first day of the following month until fully paid without prejudice to the provisions of Sec. 25 hereof and to any other right, power or authority of LESSOR under this Contract; PROVIDED, that, in case of an increase in the prevailing market rate of interest for similar types of obligations, LESSOR may at any time and from time to time, increase or decrease as the case may be, the rate of the interest herein agreed upon and apply said prevailing market interest rate; PROVIDED, further, that, should LESSEE have two or more unpaid accounts with LESSOR, all payments made by LESSEE shall at the sole discretion of LESSOR be applied and prioritized as payable to and in the order of the following accounts that may be yet outstanding, namely: 1st-Security Deposit; 2nd-Utilities Deposit; 3rd-Electricity; 4th-Water; 5th-Telephone; 6th-Garbage; 7th-Promotions Charges; 8th-Association Dues; 9th-Miscellaneous Charges; 10th-Interest; 11th-Aircon Charges; 12th-CUSA Charges; 13th-Others; 14th-Rent.

Should the monthly rent paid by LESSEE for any consecutive six (6) months period during the term of this Lease not exceed the MGR for the corresponding period, then LESSOR shall have the right to terminate immediately this Contract extra-judicially.

Any amount retained by LESSEE as withholding tax/taxes now required by the National Internal Revenue Code, as amended, or in the future to be required by law, executive order, rule, ordinance or regulation from the rentals paid or to be paid by LESSEE to LESSOR under this contract, LESSEE shall pay the same directly to the BIR or such other authorized government office or agency and shall give the written statement (BIR Form No. 2307, or such applicable forms as may be in force at that time) to LESSOR within five (5) days from submission to the BIR.
The Value Added Tax (VAT) required under the National Internal Revenue code, as amended and all other taxes which may now or in the future be required by law on rental paid or to be paid by LESSEE to LESSOR under this Contract shall be for the exclusive account of LESSEE and the same shall be paid to BIR thru LESSOR.

The payment of Rent and Other Charges shall be made either in cash or by check made payable in the name of LESSOR. The receipt of a check in payment of the Rent and Other Charges due hereunder shall not produce the effect of payment until the amount thereof is actually received by LESSOR.

SECURITY DEPOSIT

2. Upon the signing of this Contract, LESSEE shall deposit in cash with LESSOR the amount indicated in the FLP as SECURITY DEPOSIT, which shall be non-interest bearing, as guaranty for the faithful compliance of LESSEE with all covenants and conditions of this Contract and to answer for any damages which may be suffered by LESSOR and other monetary liabilities or obligations of LESSEE under this Contract. Said security deposit cannot be applied by LESSEE to unpaid ROC and shall be kept intact throughout the life of this Contract. It shall be returned to LESSEE within a reasonable time only upon the expiration of this Lease Contract after LESSEE shall have completely and satisfactorily vacated and redelivered the Leased Premises to LESSOR, less whatever amount LESSEE may owe LESSOR at the time of said termination or expiration, either as unsettled accounts or payment for damages incurred by LESSEE. PROVIDED, that if LESSEE should terminate this Contract before the expiration thereof, for whatever cause or reason or if this Lease Contract should be terminated by LESSOR before the expiration of the period herein fixed by reason of violation by LESSEE of any condition thereof, then said security deposit or any balance thereof shall be automatically forfeited by LESSEE in favor of LESSOR without the necessity for court action and shall not be credited to any arrears or other obligations of LESSEE, since the parties herein agree that time is of the essence of this Contract and the period for the payment of ROC as well as the period of this Contract has been fixed for the benefit of LESSOR; PROVIDED further, that LESSEE's liability for any breach of this Contract or any obligation for the Leased Premises shall in no manner be limited to the amount of said security deposit.

In the event that the lease is for more than one (1) year, the security deposit shall be adjusted annually following the prevailing MGR of the succeeding years and the additional deposit shall be paid at the beginning of each succeeding year of the lease.

Should a security deposit not be required, and LESSEE should terminate this Contract before the expiration thereof, for whatever cause or reason or if this Lease Contract should be terminated by LESSOR before the expiration of the period herein fixed by reason of violation by LESSEE of any condition hereof, LESSEE shall be bound to pay LESSOR the rent for the remaining period of the lease, since the parties herein agree that time is of the essence of this Contract and the period of this Contract has been fixed for the benefit of LESSOR; PROVIDED, that, LESSEE's liability for any breach of this Contract or any obligation for the Leased Premises shall in no manner be limited to the amount herein provided.

LEASE PERIOD

3. The LEASE PERIOD of this Contract shall be that indicated in the FLP, automatically terminating on the date indicated herein without the necessity for any previous notice or for any judicial action of ejectment or rescission, PROVIDED, however, that no interruption in the physical possession of the premises or in the business operations of LESSEE for any reason whatsoever, whether on account of fire, earthquake, typhoon, flood, riots, coups, civil disorder, war, black-outs, brown-outs, strikes, picketing or otherwise, shall interrupt or serve to extend the above-specified period of this Lease or abate the payment of the monthly ROC; PROVIDED further, that if the entire building or a substantial portion thereof including the space occupied by LESSEE is destroyed by fire, earthquake, or other fortuitous event, then this Contract shall automatically terminate pursuant to Art. 1655 of the New Civil Code, without necessity for any previous notice or judicial action of rescission and/or ejectment and LESSOR shall absolutely be without any further obligation or liability whatsoever to LESSEE, and LESSOR shall be entitled to immediate recovery of possession of the Leased Premises.

LESSOR OFFER TO RENEW

Prior to the expiration hereof, LESSOR may offer to renew the lease in favor of LESSEE by giving a written notice to LESSEE of the proposed renewal under such new terms and conditions as LESSOR may have specified therein. After receipt by LESSEE or any of his representative/employee of the said notice of renewal from LESSOR and if LESSEE shall continue to remain in the Leased Premises for a period of ten (10) days from the expiry date of the current lease, it shall be understood and agreed that this Contract of Lease shall be considered as renewed under the said new terms and conditions which LESSOR shall have specified in the offer of renewal. LESSEE hereby agrees to be bound by such new terms and conditions specified therein, as well as the provisions contained above which are not inconsistent therewith, without need of executing a new Contract of Lease, which shall then be considered as having been amended by such new terms and conditions. This provision may apply to subsequent renewals at the sole option of the LESSOR.

LESSEE HOLD-OVER

Should LESSEE continue in possession of the Leased Premises without any valid Lease Contract in writing after the expiration of this Contract, then the following rules apply:

(a) the term shall be monthly;

(b) LESSEE shall be bound to pay LESSOR double the ROC as provided herein corresponding to the last month of the lease prior to the expiration for the continued use and enjoyment of the premises, plus damages.

(c) the provisions of this Contract of Lease not inconsistent with this paragraph shall continue to apply, including, for the avoidance of doubt, Sec.25.

The LESSOR may pre-terminate this lease in case the building/area where the leased premises are located is re-developed upon giving one hundred eighty (180) days notice in which case the lease shall automatically terminate at the end of the 180 days.

The Security Deposit shall be governed by No. 2 of the Body of the Contract.

USE OF PREMISES / CONDUCT OF BUSINESS

4. LESSEE hereby recognizes and accepts that the Leased Premises form part of a commercial center owned and operated by LESSOR in an integrated and planned development project primarily dedicated to retail merchandising, which shall be maintained by both parties herein at such high standards and quality; the Leased Premises shall, therefore, be exclusively used and occupied by LESSEE for commercial purposes only, primarily dedicated to retail merchandising of a type and quality that will fit into the pattern of development of the surrounding area; and that LESSEE hereby binds himself to use the premises specifically for the purpose indicated in the FLP, with the business name and for the nature and purpose of sale, display and offer of merchandise expressly indicated in the FLP only, and for no other purposes and items and under no other business name. It is understood that only the authorized items for sale as indicated in the FLP shall be sold within the Leased Premises in the indicated percentage of the Gross Leasable Area (GLA) and the items specifically prohibited for sale as indicated in the FLP are not exclusive and shall include those items not listed therein as may thereafter be indicated by LESSOR. Percentage - refers to that portion of GLA utilized for selling the above-mentioned authorized items.

LESSEE shall at all times carry and maintain a full and complete stock of merchandise he is authorized to sell with an inventory value of at least P15,000 per square meter of Leased Premises and to be offered for sale at competitive prices and shall maintain an adequate staff to serve his customers. LESSEE shall employ his best judgment, efforts and abilities to operate the business conducted by him in the Leased Premises in such manner as to produce the maximum profitable volume of sales reasonably obtainable and to enhance the reputation and attractiveness of the aforesaid commercial center.

Furthermore, LESSEE hereby binds himself to open One Hundred Per Cent (100%) of the premises for business seven (7) days a week at such business hours as may be fixed by LESSOR, unless LESSEE is prevented from doing so by law, ordinance, force majeure or by causes beyond LESSEE's control. LESSOR shall impose a penalty charge of P10 per square meter of the Leased Premises per day, but not less than P1,000.00 per day, for the unauthorized closure/inoperation, or P2 per square meter of the Leased Premises, but not less than P100.00 per hour or fraction thereof, for the unauthorized late opening and/or early closing of LESSEE's business; PROVIDED, however, that LESSOR reserves the right to unilaterally increase the penalty rates provided herein at any time it deems appropriate and to include the penalty charges in LESSEE's monthly billings, without prejudice to any other remedies which LESSOR is entitled under this Contract.

In case LESSEE is an authorized franchise holder carrying business under a business name, LESSEE shall provide LESSOR a copy of that franchise agreement and it shall be understood that the grant of franchise is, among others, a reason for this grant of lease. The termination or cancellation of the franchise for any reason whatsoever shall automatically terminate this Lease regardless of the term of this Contract.

LESSEE warrants that he is the owner of the merchandise or items offered for sale or the items on which the lease is based and/or has the right to hold and dispose of the items or merchandise for sale or the items on which the leased is based.

Likewise, LESSEE shall install and maintain at his own expense, display as required, approved and indicated in writing by LESSOR, in front, behind and at the sides of the Leased Premises within sixty (60) days from the commencement of this Contract.

RULES AND REGULATIONS

5. LESSEE shall secure on his own account all permits and licenses as may be required by the National and/or City authorities in connection with his business and use of the premises and shall furnish LESSOR annually copies thereof as proof of compliance with this provision.

LESSEE shall comply with the Supplemental Rules and Regulations and Renovation Guidelines (SRRRG) set down by LESSOR, a copy of which is hereto attached as Annex "A", and made an integral part hereof, and those which may hereafter be promulgated from time to time by LESSOR, and with all the laws, ordinances, rules and regulations promulgated by the duly-constituted authorities of the National and/or City Governments regarding the use, occupancy, security and sanitation of the Leased Premises; PROVIDED, however, that the SRRRG promulgated by LESSOR shall not be contrary to the express provisions of this Contract, and with all the laws, ordinances, rules and regulations promulgated by the duly constituted authorities of the National and/or City Governments regarding the use, occupancy, security and sanitation of the Leased Premises; PROVIDED, further, that all works of temporary character which may be ordained by the National and/or City authorities to be placed or done on the Leased Premises shall be for the exclusive account and expense of LESSEE.

LESSEE shall also indemnify and hold LESSOR harmless from all actions, suits, damages and claims by whomsoever they may be brought or made by reason of the non-observance or non-performance of duties required by the laws, ordinances, rules or regulations of the National and/or City Governments or LESSOR or any of the covenants and conditions of this Contract.

Any violation of the SRRRG, save as herein specifically provided, shall subject LESSEE to a penalty of P1,000.00 for each violation; Provided that LESSOR reserves the right to unilaterally increase the penalty rates herein at anytime it deems appropriate, without prejudice to any other remedies which LESSOR is entitled under this Contract.

CARE OF LEASED PREMISES

6. LESSEE hereby receives and accepts physical possession of the Leased Premises "as is" with the area indicated in the FLP and hereby expressly acknowledges that the same is in good, clean and tenantable condition.

It is the obligation of LESSEE to use, care for, and maintain the Leased Premises in such a manner suitable and useful in accordance with this Lease throughout the term, and LESSEE shall make sure that the Leased Premises are always well-kept, well-maintained, safe, secure and presentable.

LESSEE hereby agrees further that any damage to the Leased Premises or its appurtenances as well as any part of the building where the Leased Premises are located caused by said LESSEE or his agents, employees, customers, guests or any person shall be LESSEE's sole responsibility and liability, which damage he shall repair promptly at his own expense within five (5) days; otherwise LESSOR may cause said repairs to be made at the expense and for the account of LESSEE. LESSEE must notify LESSOR within the shortest time possible of any damage to the Leased Premises or its appurtenances, as well as any occupation, usurpation or untoward act which any third person may have committed or may be committing or threatening to commit upon the Leased Premises.

LESSOR shall have the right to make such repairs for the preservation, improvement, and/or ornamentation of the building in which the Leased Premises are located as it may deem necessary; PROVIDED, that LESSOR shall not be liable for any inconvenience, annoyance or injury to LESSEE and/or his business, including customers, agents, employees, guests, or any other person, resulting from the undertaking of any such work under this provision, and such repairs shall not constitute grounds for diminution or abatement of ROC, based on such grounds, notwithstanding the provisions of the second paragraph of Article 1662 of the Civil Code.

LESSEE shall allow LESSOR or its agents, employees or representatives to enter and inspect the Leased Premises at any reasonable hour of the day and in case of any emergency for purposes consistent with this Lease.

LESSEE acknowledges that LESSOR may conduct redevelopment works within the Araneta Center involving both major and minor redevelopment works therein and that as a consequence, there may be, from time to time, renovations, alterations, changes, expansions, reduction of areas adjacent to the building, including construction of additional stories, whether above-ground or subterranean, expanding/reducing areas and similar works therein, and that such activities may result in the creation of noise, vibrations, dust, light, odors and traffic and affecting LESSEE's business.

LESSEE further acknowledges that the building where the Leased Premises are located is operated as a mall and as a passenger handling facility for the Araneta Center-Cubao MRT Line 3 Station. As such, LESSOR has provided for interconnection between passenger handling facility Line 2 and the Araneta Center-Cubao MRT Line 3 Station.

In connection with 6.1 and 6.2 hereof, LESSEE acknowledges and agrees that such works performed in the areas adjacent to the building, in connection with the renovations, alterations, changes, expansions, reduction and redevelopment and the fact that the building where the Leased Premises are located is operated both as a mall and as a passenger handling facility for the Araneta Center-Cubao LRT Line 2 Station with interconnection to the Araneta Center-Cubao MRT Line 3 Station shall not, notwithstanding the provisions of the second paragraph of Article 1662 of the Civil Code, constitute grounds for diminution or abatement of ROC, or grounds for an action based on inconvenience, annoyance, discomfort or injury to LESSEE and/or his business, including customers, agents, employees, guests or any other persons, resulting from the undertaking of any such works under this provision or the operation of the building both as a mall and a passenger handling facility with interconnection.

LESSEE shall be obliged to tolerate the works in Sec. 6, 6.1 and 6.2 hereof. LESSEE binds himself to return the Leased Premises in the same good and clean condition, ordinary wear and tear excepted, subject to the provisions of Sec. 8 hereof;

AIR-CONDITIONING

7. LESSOR has provided the Leased Premises with a central air-conditioning system which shall be operated at such hours, at such temperatures and in such manner as may be solely decided upon by LESSOR.

LESSEE shall reimburse LESSOR for the AIRCON CHARGES as indicated in the FLP within the period and manner prescribed in Sec. 1 hereof. Said AIRCON CHARGES are LESSEE' s proportionate share, based on the area of the Leased Premises, to cover the cost of power and water utilized to operate the central air conditioning facility, and the costs to operate, repair and maintain the same. In addition, LESSOR may further impose other assessments for the operation and maintenance of the central air-conditioning system.

LESSOR shall not under any circumstance be held liable nor responsible for any damages arising from any temporary or permanent breakdown, failure or non-functioning of said air-conditioning system or any part thereof, totally or partially, arising from any cause or reason and that LESSEE shall not be entitled to any abatement or adjustment of ROC whatsoever.

PERMANENT IMPROVEMENTS

Sec. 8. Notwithstanding the provision of Article 1678 of Republic Act 386, as amended, otherwise known as the Civil Code of the Philippines, the parties hereby agree that the LESSOR has the option to retain or demolish all permanent improvements introduced by LESSEE in the Leased Premises. In such event, LESSOR shall inform LESSEE within ten (10) days from expiration of the Lease Contract. In such event, ownership of the permanent improvements shall belong to LESSOR. However, in the event that LESSOR failed to communicate its intention to appropriate the improvements mentioned herein, LESSEE shall demolish, at its own expense, said improvements immediately and restore the Leased Premises in the original condition when the same was turned-over by LESSOR to LESSEE.

"Permanent Improvements" shall mean authorized renovations, alterations, improvements, remodeling, additions and other fixtures which are permanently attached to the Leased Premises by LESSEE; those which form an integral part of the Leased Premises; those attached to the Leased Premises in a fixed manner, in such a way that it cannot be separated therefrom without breaking the material or deterioration of the object; those placed in the Leased Premises in such a manner that it reveals the intention to attach them permanently to the Leased Premises, and machinery, receptacles, instruments or implements tending to meet directly the needs of the Leased Premises.

It includes shutter doors, glass store fronts, door and door jambs, partitions, finishes of the floors, walls and ceilings, electrical panel board, circuit breakers, switches and wirings, vault doors, and toilet and plumbing fixtures such as water closets, lavatories, faucets and the like.

RENOVATION / SIGNAGE

9. In keeping with the standards of the Araneta Center and for the purpose of uniformity and aesthetics, LESSEE shall renovate at his sole and exclusive expense the Leased Premises as indicated in the SRRRG. LESSEE shall submit to LESSOR his renovation design for LESSOR' s approval in writing. LESSEE shall then renovate the Leased Premises in accordance with the approved plans within the period required by LESSOR. Failure of LESSEE to renovate in accordance with LESSOR' s requirements shall be considered a violation of this Contract. It is understood and agreed that LESSEE shall maintain the renovated Leased Premises at his own expense, in the same good condition and shall renovate it at least every five (5) years or sooner as LESSOR shall require.

In the course of the renovation, repair and improvement of the Leased Premises and any repair and renovation thereof, LESSEE shall comply with the provisions of the National Building Code of the Philippines (Presidential Decree no. 1096) and its implementing rules and regulations, Fire Code of the Philippines (Presidential Decree no. 1185), and its implementing rules and regulations, all applicable laws relative to renovation, repair and improvement, and subsequent legislation thereon, national or local. The provisions of Section 5 hereof shall apply.

LESSEE shall likewise put up and maintain at his own expense the required business sign/s, the size, color and design of which shall be determined and indicated in writing by LESSOR, the same to be installed by LESSEE at the designated place/s within sixty (60) days from the commencement of this Lease Contract. Failure of LESSEE to install the required sign/s within the period specified shall give LESSOR the right to install the proper sign/s for the LESSEE at LESSEE's expense.

LESSEE shall not affix, inscribe, or paint any notice, sign or other advertising medium within or outside the Leased Premises, except as authorized above. LESSOR shall remove and/or destroy summarily any such unauthorized signs or materials which may be found within or outside the Leased Premises in violation of this provision without incurring any criminal or civil liability or any liability for reimbursement of costs.

PORTION EXCLUDED

10. This Lease does not extend to the exterior portion of the building corresponding to or opposite the Leased Premises, and the painting or affixing of authorized business signs or advertising media shall not be construed as an extension of this Lease to said exterior portion of the building.

STORE FRONT

11. If LESSEE leases two or more units adjacent to each other and/or contiguous to each other and facing the same or opposite thoroughfares in the same and/or separate buildings/arcades, LESSEE shall preserve and maintain the frontage of each and every unit as well as provide a main entrance for each unit with the corresponding authorized business sign(s) and display(s), and no entrance shall be used merely as service or back entrance.

UTILITIES AND UTILITIES DEPOSIT

12. All bills or charges for water, electricity, and other utilities in the Leased Premises shall be for the account of LESSEE from the start of the lease up to the actual date when LESSEE vacates the Leased Premises in accordance with the terms and conditions of this Lease. The term charges include reasonable administrative and other charges imposed by LESSOR in connection with the supply of said service for its administrative services relative thereto.

The charges for connection/disconnection of the meters shall be for the account of LESSEE.

Actual telephone charges as indicated in the telephone billings from the start of the lease up to the actual date when LESSEE vacates the Leased Premises in accordance with the terms and conditions of this Lease shall be for the account of LESSEE.

LESSEE shall furnish monthly to LESSOR a photocopy of the receipt/s of payment thereof.

Utilities connections in the Leased Premises shall be used exclusively for the purpose for which they are intended. Any transfer or tampering of the meters, any other connections/extensions not approved by LESSOR, any defective meters, where applicable, shall give LESSOR the right to have the services cut off, and shall render LESSEE liable to a penalty as determined by LESSOR.

Deficiencies in bills/charges arising from defective meters shall be for the account of LESSEE.

LESSOR shall not be liable in damages or otherwise for any failure or interruption of any utility service being furnished the Leased Premises as well as CUSA and no such failure or interruption shall entitle LESSEE to any abatement in ROC.

LESSEE shall deposit and maintain with LESSOR a UTILITIES DEPOSIT as indicated in the FLP based on an estimated three (3) months utilities usage. The Utilities Deposit shall be non-interest bearing and shall be kept intact throughout the life of this Contract. The Utilities Deposit shall be increased from time to time in the event that the actual average consumption of LESSEE will increase, with notice to LESSEE. The Utilities Deposit shall be returned to LESSEE only upon the expiration or termination of this Lease Contract after LESSEE shall have completely and satisfactorily vacated and redelivered the Leased Premises to LESSOR, less whatever amount LESSEE may owe LESSOR as utilities bills or charges at the time of said termination or expiration.

Failure of LESSEE to pay utilities bills/charges within five (5) days from notice is deemed a violation of this Contract and shall give LESSOR the right to disconnect the said service and charge a reconnection fee in an amount to be determined by LESSOR, without court action, notwithstanding the Utilities Deposit and without prejudice to the provision of Secs. 17 and 25 hereof and any other remedies under this Contract.

COMMON USE SERVICE AREA

13. LESSEE shall reimburse LESSOR for CUSA CHARGES as indicated in the FLP within the period and manner prescribed in Sec. 1 hereof. Said CUSA CHARGES shall be LESSEE' s proportionate share based among others, on the area and location of the Leased Premises, as solely determined by LESSOR, for the operation, repair and maintenance costs of the CUSA as defined hereunder including, but not limited to the costs of electricity, water, materials and personnel for sanitation, landscaping, security and traffic, real estate tax, reasonable administrative costs, and other similar expenses; PROVIDED however that LESSOR shall have the sole option to

allocate such charges as are attributable only to a particular area and the appurtenant lessees thereof in such an equitable manner as LESSOR deems appropriate, taking into consideration the size of the area, exclusive advantage thereof and the like; PROVIDED further, that said CUSA CHARGES may increase from time to time during the life of this Contract as the MERALCO, water rates, real estate taxes and/or other costs may increase and LESSOR may automatically adjust the CUSA CHARGES in the succeeding month' s billing.

The term COMMON USE SERVICE AREA (CUSA) as used in this Contract are those areas, such as, but not limited to those within the building of which the Leased Premises form part, like malls, courts, lobbies, hallways, grounds, air-conditioning, elevators, escalators, stairways, public restrooms, parking and other similar improvements and/or facilities; and exterior areas situated within the boundaries of Araneta Center, like parking areas and structures, driveways, landscaped and planted areas, streets, sidewalks, arcades, street lights, service areas, and other similar improvements and/or facilities.

It is expressly understood that LESSEE' s privilege to use areas dedicated to common use is not exclusive. The privilege to such use by LESSEE, his employees and customers is not an integral part of this Lease. LESSOR shall exclusively operate, manage, and control these areas in such manner as it may, in its sole discretion, deem appropriate, and it may likewise restrict and regulate the use thereof by all persons. LESSOR may make changes at anytime and from time to time in the operation, size, shape, location, number, use and extent of the common areas or any of them, and no such change shall entitle LESSEE to any abatement or adjustment of ROC. LESSOR may collect parking fees from the general public, either by meter or other reasonable basis.

In the event that CUSA charges herein or the charges in Section 1.6, 2, 7, 13, 18 and 19 hereof are considered as subject to VAT or any other tax, whether national or local, the same shall be borne by LESSEE.

TRANSFER OF RIGHTS

14. LESSEE shall not directly or indirectly sublease, sell, assign, transfer, convey, mortgage or in any manner dispose of or encumber his rights under this Contract, in whole or in part, and no right or interest therein shall be conferred or vested in anyone other than LESSEE personally; and LESSEE shall not enter directly or indirectly into any Contract or agreement with any third person, association or corporation in joint venture, partnership or management agreement of any kind whatsoever whereby said third party will be allowed to occupy and transact business in the Leased Premises under any guise whatsoever; and that any such Contract or agreement made in violation of this Section shall be absolutely void ab initio.

LESSEE hereby declares and admits that he has no goodwill or patronage rights whatsoever in the Leased Premises; that such rights exclusively belong to LESSOR and are inherent in the premises leased, which as part of LESSOR' s Commercial Development has acquired such goodwill and patronage rights; that LESSEE may not sell dispose of said goodwill or patronage to a third person, and that such sale or transfer of goodwill or patronage rights shall be absolutely void ab initio.

DAMAGE TO LESSEE

15. LESSOR shall not be liable, nor responsible, and shall be without any liability whatsoever for any injury, loss or damage, including wrongful death which LESSEE, his agents, employees, users, customers or guests and third parties may sustain within the Leased Premises, caused by, but not limited to the following:

a. robbery, theft or any other crimes;
b. acts of terrorism, civil disorder, riots, stampedes, strikes, picketing and the like;
c. acts of negligence and/or vandalism committed by LESSEE or his employee/s or of other persons or tenants in the Leased Premises; or
d. failure or malfunction or improper use of the escalators and elevators;
e. repairs under Sec. 6 hereof or redevelopment under par. 6.1 hereof;
f. any other cause similar to the foregoing,

nor for damage or loss to the LESSEE' s property, equipment, furniture, effects and operations as a whole, likewise sustained within, or even outside of the Leased Premises, caused by, but not limited to following:

the presence of bugs, roaches, vermin, termites and other kind of insects;
the failure or disruption of water supply and/or electric current;
defective plumbing or pipes, or bursting, leaking or destruction or clogging of any cistern tank, washstand, water closet, waste or soil pipe, etc;
leakage of water or the elements from the roof, floor, ceiling, wall, sprinkler system or any part of the building/s due to rain, typhoon, flood, lightning, earthquake, repairs or other construction work or for any reason whatsoever;
loss of articles delivered to or left with any employee of LESSEE;
repairs under Sec. 6 hereof or redevelopment under par 6.1 hereof;
any other cause similar to the foregoing;

In connection with the above stated causes LESSEE hereby waives absolutely all causes of action, actual, inchoate or contingent, that he may possibly now or in the future have and holds LESSOR and its authorized representative/s totally free and harmless and without any liability whatsoever from any personal and property loss and/or damage that LESSEE may suffer as a result of any above-mentioned causes.

THIRD PARTIES

16. LESSEE hereby assumes full responsibility for any damages or injury which may be caused to third person or property, including wrongful death, while within the Leased Premises. LESSEE further binds himself to hold LESSOR free and harmless from any such claim for injury or damage. Towards this end, and as required by Quezon City Ordinance No. SP-651-S-98, LESSEE shall secure a Comprehensive General Liability Insurance Policy acceptable to LESSOR in an aggregate amount of not less than Php 500,000.00 (third party bodily injury and third party property damage). However, it is understood that the liability of LESSEE as mentioned in this contract shall not be limited to the amount of the insurance policy as herein provided.

INSURANCES

17. LESSEE shall at all times during the term hereof, and at its cost and expense, maintain an insurance policy from LESSOR' s accredited insurance companies covering its fixtures, equipment and stocks-in-trade located on the premises, in an amount not less than eighty percent (80%) of their actual cash value. The whole proceeds of such insurance, as long as this Lease remains in effect, shall be used exclusively to repair or replace the fixtures, equipment and stocks-in-trade so insured. LESSEE shall not however, insure the Leased Premises or other items not included herein. LESSEE shall furnish LESSOR with a complete list of all policies and amounts of coverage of all insurances taken, and shall likewise furnish LESSOR with copies of all receipts of payments of premiums for such insurance within ten (10) days of such payment. LESSEE shall promptly pay the premium thereon on the dates and places stipulated in the insurance policy or policies to ensure continued coverage.

LESSEE warrants that he has an insurable interest in the fixtures, equipment and stocks-in-trade.

TAXES / LICENSES / PERMITS ON LESSEE'S BUSINESS

18. All National and Local taxes, licenses, permits, fees, etc., that may be imposed for the operation of LESSEE' s business, including taxes on his improvements introduced into the Leased Premises, shall be the responsibility of and for the exclusive account of LESSEE.

The foregoing payments, which are to be paid by LESSEE, shall be made before delinquency sets in and LESSEE shall present to LESSOR official receipts evidencing payment before delinquency.

ADVERTISING / PROMOTIONS / ASSOCIATION OF LESSEES

19. LESSEE hereby binds and commits his active cooperation, support, participation and involvement in all advertising and sales promotion programs of LESSOR and LESSEE agrees and binds himself to pay directly to LESSOR the PROMOTIONS CHARGES as indicated in the FLP within the period and manner prescribed in Sec. 1 hereof, as well as such contributions or fees as may be additionally assessed upon him from time to time by LESSOR representing his share of the advertising and promotions expenses. PROVIDED; that all these charges, contributions or fees, shall be disposed of at the sole discretion of LESSOR for the aforementioned purpose. Non-payment of the PROMOTIONS CHARGES and the additional assessments, as well as LESSEE' s non-cooperation, participation, support and involvement in LESSOR' s advertising and promotions program shall be considered a violation of this Contract.

Furthermore, as a means to improve his sales, LESSEE shall honor and accept the gift certificates that LESSOR may issue or make available to the general public and allow the use thereof in his establishment for the purchase of merchandise, and/or services; PROVIDED: that LESSOR shall redeem the same within seven (7) days from presentation by LESSEE; PROVIDED further that LESSEE shall shoulder the administrative expenses arising therefrom.

Finally, LESSEE hereby binds himself upon the signing of this Contract or afterwards as LESSOR may determine, to apply for and become a member of the Merchants Association of lessees within the building and/or the Araneta Center of which the Leased Premises form part, which may be organized for the purpose of advertising and promotions for all lessees within the said building and/or Araneta Center and LESSEE agrees to abide by all the rules and regulations promulgated by said Association and pay the Association or to LESSOR his corresponding monthly membership dues therein as indicated in the FLP or as may be fixed and/or increased by the Association or by LESSOR. If for any reason said Merchants Association is not formed or is dissolved, then LESSEE hereby agrees and binds himself to pay directly to LESSOR such advertising and promotions contributions as may be assessed upon him by the latter from time to time, and such funds shall be disposed of at the sole discretion of LESSOR for the above-mentioned purpose.

TERRITORIAL PROTECTION

20. LESSEE hereby binds himself during the life of this Contract not to establish and/or operate within the Araneta Center or within a radius of two (2) kms, therefrom, either by himself or in partnership or joint venture or by management Contract or by franchise or by a corporation of which he is a stockholder, a branch or a subsidiary of his business herein.

INFLATION

21. In case an extraordinary inflation of the Philippine Peso should supervene during the term of this Lease or renewal thereof, the value of the currency at the time of the establishment of the obligation shall be the basis of payment as provided for in Art. 1250 of the Civil Code of the Philippines. In such eventuality, LESSOR may adjust the ROC accordingly.

Notwithstanding the paragraph immediately preceding, an extraordinary inflation shall be conclusively presumed to have supervened if the exchange rate of the Philippine Pesos to the US Dollar which is fixed at the execution of this Contract should increase by more than 20%. The exchange rate of the Philippine Peso to the US Dollar as determined by the Monetary Board or appropriate government body shall be conclusive upon the parties. LESSOR may exercise this option by giving written notice to LESSEE of the occurrence of the extraordinary inflation coupled with the demand to pay the adjusted ROC on the succeeding calendar month after receipt of notice which in no case shall be more than fifteen (15) days. If LESSEE refuses, this Contract shall be deemed automatically terminated upon the effectivity of the new ROC without need for court action.

ABANDONMENT

22. In case the Leased Premises shall be closed, deserted, vacated or non-operating for a continuous period of at least fifteen (15) days during the life of this Contract, or LESSEE shall fail to open or start his authorized business operations within forty-five (45) days from the date of this Contract, LESSOR shall have the right to terminate this Contract and repossess the Leased Premises as provided in Sec. 25 hereunder and proceed pursuant to the further provisions in said Sec. 25 and 25.1.

WARRANTY OF SOLVENCY

23. LESSEE hereby warrants that at the time of signing of this Contract, as well as during the time hereof, he is financially capable of paying the monthly ROC provided for in this Contract. Should there be a pending suit or action for recovery of moneys or property filed against LESSEE, LESSOR may terminate this Contract immediately and repossess the Leased Premises as provided in Sec. 25 hereunder.

23.1 OTHER WARRANTIES

Each of the parties represents and warrants as follows, that;

a. Each party has the requisite legal personality under the law and that each party has been duly authorized to enter into this Contract of Lease to conduct the business contemplated hereby and under the name herein and to carry out the provisions hereof and perform its obligations herein;
b. This Contract has been duly executed by each party and constitutes its valid, legal and binding obligation enforceable in accordance with the terms hereof;
c. Neither the execution of this Contract nor the performance of either party' s obligations under it will conflict or result in a breach of any of the terms, conditions, or provisions of, or constitute a default under, any agreement or other instrument bound by, or which requires the consent of the other, and that it will not result in the violation of any of the terms and provisions of its articles of incorporation or any legal charter, license or franchise or applicable statute, national or local government rule or regulation that applies to one or the other.

EXPROPRIATION

24. If, due to expropriation proceedings during the period of this Lease by any agency or instrumentality of the government or by any other entity with authority to exercise this power, the Leased Premises become no longer useful for the purpose of this Lease, either party may rescind this Contract upon giving the other a 30-day prior notice in writing. In case of such expropriation, LESSEE hereby unconditionally relieves and releases LESSOR from any and all liability under this Contract in connection with or arising out of such expropriation proceedings, without prejudice to whatever recourse LESSEE may have against the expropriating entity.

EFFECT OF VIOLATIONS

25. LESSEE hereby agrees that all the provisions contained in this Contract shall be deemed as conditions, as well as covenants, and that this Contract shall be automatically rescinded and cancelled without resorting to court action should LESSEE violate any or all said conditions, including the payment of RENT and OTHER CHARGES indicated in the FLP when due within the time herein stipulated and in any such cases, LESSEE hereby irrevocably appoints LESSOR, its authorized agents, employees and/or representatives as his duly authorized attorney-in-fact, even after the rescission or cancellation of this Contract, with full power and authority to open, enter, repossess, secure, enclose, fence and otherwise take full and complete physical possession and control of the Leased Premises and its contents without resorting to court action and/or to summarily disconnect electrical and/or water services thereof likewise without resorting to court action, and that LESSEE hereby irrevocably empowers LESSOR, its authorized agents, employees and/or representatives to take inventory and possession of whatever equipment, furniture, articles, merchandise, appliances, etc., found therein belonging to LESSEE, consignors, and/or to any other persons and to place the same in LESSOR' s warehouse or any other place at

LESSOR's discretion for safekeeping, charging LESSEE the corresponding storage fees therefore; that in case LESSEE fails to claim said equipment, furniture, articles, merchandise, appliances, etc., from storage and simultaneously liquidate any liability with LESSOR within thirty (30) days from date of said transfer to LESSOR's warehouse, LESSOR is likewise hereby expressly authorized and empowered by LESSEE to dispose of said property/properties in a public sale through a Notary Public of LESSOR's choice and to apply the proceeds thereof to whatever liability and/or indebtedness LESSEE may have to LESSOR plus reasonnble expenses for the same, including storage fees, and the balance, if any, shall be turned over to LESSEE; that LESSEE hereby expressly agrees that any or all acts performed by LESSOR, its authorized agents, employees and/or representatives under the provisions of this section may not be the subject of any Petition for a Writ of Preliminary Injunction or Mandatory Injunction in court, and that LESSOR and/or its authorized agents, employees and/or representatives shall be free from any civil and/or criminal liability or responsibility whatsoever therefore.

25.1 In the event LESSEE fails to claim said equipment, furniture, articles, merchandise, appliances, etc. within the period provided for above, or LESSOR does not dispose of said furniture, articles, merchandise, appliances, etc. at public auction, LESSOR may treat such properties as abandoned, after further and due notice to LESSEE.

TERMINATION OF LEASE.

26. Subject to Sec. 8 hereof, upon the automatic termination or expiration of this Lease Contract, as the case may be, LESSEE shall immediately vacate and redeliver physical possession of the Leased Premises, including the keys appertaining thereto, to LESSOR in good, clean and sanitary condition, reasonable wear and tear expected, devoid of all occupants, equipment, furniture, articles, merchandise, etc., belonging to LESSEE or to any other person except those belonging to LESSOR; that should LESSEE fail to comply with this provision, LESSEE agrees that LESSOR is hereby given the same rights and power to proceed against LESSEE as expressly granted in the immediately preceding section and sub-section.

PENALTY CLAUSE

27. Should LESSEE fail to vacate the premises on the date of the automatic expiration of this Contract, as provided in Sec. 3 above, then he shall pay LESSOR, in addition to double the ROC corresponding to the last month of the lease price to the expiration thereof, and without the necessity for any previous demand, daily liquidated damages at the rate of three (3%) percent of the total monthly rent, percentage rental and other charges corresponding to the last month of the lease prior to the expiration thereof, plus attorney's fees of 25%, but not less than P10,000.00, of the total amount due from LESSEE to LESSOR.

CUMULATIVE RIGHTS

28. All rights and remedies granted to LESSOR under this Contract or under pertinent laws, executive orders, ordinances, rules and regulations shall be deemed cumulative.

PENDENCY OF ACTION

29. LESSEE hereby agrees and admits that the filing and pendency of any action in court by or against LESSOR under this Contract of Lease shall not deprive LESSOR of its right thereunder, nor preclude it from enforcing the provisions of Sec. 25 hereof even without previous judicial authority, but without prejudice to any final decision that may be rendered in the action. It is agreed by the parties hereto that any judicial action arising out of this Contract shall be filed before the appropriate courts of Quezon City

NON-WAIVER

30. The failure of LESSOR to insist upon the strict performance of any of the terms and conditions hereof shall not be deemed a relinquishment or waiver of any right or remedy that it may have, nor shall it be construed as waiver of any subsequent breach or default of the terms and conditions hereof, which shall continue to be in full force and effect. No waiver by LESSOR of any of its rights under this Contract shall be implied unless made expressly in writing, duly signed and subscribed to by LESSOR.

31. DEFAULT

32. For purposes of this Lease, default shall automatically take place upon the failure of LESSEE to pay and/or perform his obligations without necessity of demand, or, if no time is fixed, after five (5) days from receipt of notice or demand from LESSOR. For purpose of default and where the law requires that a demand or notice is delivered, the parties hereby expressly agree that notice delivered or mailed to LESSEE in the Leased Premises and/or LESSEE's address indicated herein shall be considered as sufficient compliance therewith for all legal intents and purposes.

NOTICES

33. All notices sent to LESSEE at his address stated on the first page hereof and/or at his aforementioned Leased Premises shall be valid and binding for all legal intents and purposes.

COMPLETE AGREEMENT

34. This Contract including the SRRRG, for the entire duration of this Lease and any renewal thereof constitutes and embodies the entire and complete agreement between the parties and no other terms and conditions verbal or otherwise; not herein expressly contained, shall amend, change, modify or extend this Contract or be added to or in any manner alter the provisions herein agreed upon, unless such amendments, changes, modification, extension, addition or alteration be in writing duly signed by LESSOR; PROVIDED, that whenever the words "he, him, or his" are used the same shall be interpreted to mean "she, her, it, its" in the proper cases.

OTHER PROVISION

The LESSOR may pre-terminate this lease in case the building/area where the Leased premises are located is re-developed upon giving one hundred eighty (180) days notice in which case the lease shall automatically terminate at the end of the 180 days.

IN WITNESS WHEREOF, the parties hereunto have set their hands this_____day of_____, 2018 at Quezon City, Metro Manila, Philippines.

ACI, INC.
Lessor
By:

VIRGILIO D. IGNACIO
Authorized Representative

ANTONIO T. MARDO
Authorized Representative

Signature Over Printed Name
Witness

SIGNED IN THE PRESENCE OF

Family Times Foods, Inc.
Lessee
By:

ADRIAN DIMACALI
Lessee/Authorized Representative

_____
Lessee/Authorized Representative

CHRISTINE JOY B. ACUBA
Signature Over Printed Name
Witness